

This analysis compares Nokia against Ericsson and Cisco across financial performance, valuation, and strategic positioning. The objective of the comparison is to evaluate Nokia's current profitability, market positioning, and relative valuation within the telecom infrastructure and networking industry.

Nokia appears to operate with weaker profitability metrics relative to both Ericsson and Cisco. Gross margin and EBIT margin remain below peers, indicating that Nokia currently generates lower operating profitability from its revenue base. Cisco demonstrated substantially stronger profitability, likely driven by its software-heavy and enterprise-focused business model, which benefits from recurring revenue and higher-margin networking solutions. Ericsson also maintained stronger profitability metrics than Nokia despite ongoing pressure from global telecom spending cycles.

Although Nokia's current margins remain weaker, the company's earnings report highlighted improvements in gross profit and operating profit. This may suggest that Nokia is moving toward a stronger profitability profile following prior operational challenges, restructuring efforts, and increased exposure to AI infrastructure and optical networking markets. However, future earnings reports will be important in determining whether these improvements are sustainable or temporary. Continued monitoring of margin expansion, free cash flow generation, and operating efficiency will likely serve as key indicators of Nokia's long-term operational progress.

From a cash flow perspective, Nokia generated lower free cash flow relative to Cisco and slightly lower free cash flow margins compared to peers. This may reflect continued investment in network infrastructure, research and development, AI-related networking technologies, and strategic growth initiatives tied to next-generation telecommunications and cloud infrastructure markets.

The valuation comparison now reflects a materially different market perception of Nokia relative to prior periods. Following the company's recent stock rerating, Nokia's valuation multiples have expanded significantly, particularly across EV/EBITDA and P/E metrics. This suggests investors are increasingly pricing in stronger future profitability, AI infrastructure growth, optical networking expansion, and long-term margin improvement. While the rerating may reflect improving strategic positioning and stronger growth expectations, the current valuation also implies that a meaningful portion of anticipated operational improvement may already be reflected in the stock price. Cisco continues to trade at premium valuation multiples, likely supported by its software-heavy business model, recurring enterprise revenue streams, and stronger profitability profile.

Overall, Nokia appears to be in a transitional stage. The company is increasingly positioning itself toward AI infrastructure, optical networking, hyperscaler demand, and higher-margin networking markets. Recent earnings trends and strategic partnerships suggest potential operational improvement and a stronger long-term business profile. However, continued execution, sustained margin expansion, and telecom market stability will remain critical factors influencing future performance and supporting current valuation levels.